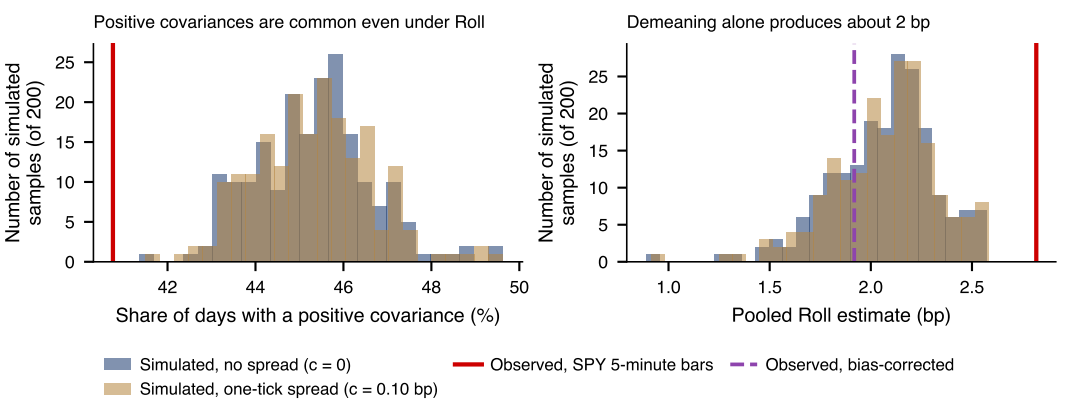
Positive covariances are common even under Roll
Number of simulated samples (of 200)
0
5
10
15
20
25
42
44
46
48
50
Share of days with a positive covariance (%)
Demeaning alone produces about 2 bp
Number of simulated samples (of 200)
0
5
10
15
20
25
1.0
1.5
2.0
2.5
Pooled Roll estimate (bp)
Simulated, no spread (c = 0)
Simulated, one-tick spread (c = 0.10 bp)
Observed, SPY 5-minute bars
Observed, bias-corrected